



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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Circular to Intermediaries

Anti-Money Laundering / Combating Terrorist Financing Non-cooperative Countries and Territories (“NCCTs”)

The Financial Action Task Force on Money Laundering (“FATF”) regularly updates its list of non-cooperative countries and territories (“NCCTs”). The latest NCCTs list released by FATF on 13 March 2003 is as follows:

Cook Islands	Myanmar	Philippines
Egypt	Nauru	St. Vincent and the Grenadines
Guatemala	Nigeria	Ukraine
Indonesia		

Intermediaries and, where applicable, their associated entities are advised to give special attention to businesses and transactions with persons, including companies and financial institutions, in the above NCCTs, in accordance with Recommendation 21^{Note} of the FATF Forty Recommendations. The updated list of suspicious activity indicators in Appendix 1 should be used to help identify suspicious transactions which are reportable to the Joint Financial Intelligence Unit for prompt investigation in order to ensure compliance with the Guidance Note issued by SFC on Prevention of Money Laundering and Terrorist Financing.

In addition, the FATF recommends the application of additional counter-measures against Nauru. These counter-measures, as applicable in the Hong Kong context, are detailed in Appendix 2.

As the NCCTs list designated by the FATF and those subject to counter-measures may be updated from time to time, intermediaries and, where applicable, their associated entities are reminded to browse the FATF website www.fatf-gafi.org regularly for the latest information.

Note Recommendation 21: Financial institutions should give special attention to business relations and transactions with persons, including companies and financial institutions, from countries which do not or insufficiently apply the FATF Forty Recommendations. Whenever these transactions have no apparent economic or visible lawful purpose, their background and purpose should, as far as possible, be examined, the findings established in writing, and be available to help supervisors, auditors and law enforcement agencies.



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The SFC will alert intermediaries of changes to the list and FATF's recommended counter-measures, if any, through circulars in due course.

Intermediaries & Investment Products
Securities and Futures Commission

**Updated List of Suspicious Activity Indicators
Commonly Associated with Money Laundering in Hong Kong**

1. Large or frequent cash transactions, either deposits or withdrawals.
2. Suspicious activity based on transaction pattern, i.e.
 - (a) Account used as a temporary repository for funds.
 - (b) A period of significantly increased activity amid relatively dormant periods.
 - (c) “Structuring” or “Smurfing” i.e. many lower value transactions conducted when one, or a few, large transactions could be used. Seen particularly in incoming remittances from countries with value based on transaction reporting requirements, e.g. frequent remittances of just below AUS\$10,000 from Australia, or US\$10,000 from USA.
 - (d) “U-turn” transactions, i.e. money passes from one person or company to another, and then back to the original person or company.
 - (e) Increased level of account activity on the first banking day after Hong Kong horse racing, normally Mondays and Thursdays, indicating illegal bookmaking.
3. Involvement of one or more of the following entities which are commonly involved in money laundering:
 - (a) Shelf, or Shell Companies.
 - (b) Company registered in a known “Tax Haven” or “Off-shore Financial Centre”.
 - (c) Company Formation Agent, or Secretarial Company, as the authorized signatory of the bank account.
 - (d) Remittance Agency or Money Changer.
 - (e) Casino.
4. Currencies of, or entities (personal or corporate) associated with, or nationals of the following High Risk countries:
 - (a) Those countries which are commonly associated with drug trafficking, drug production, fraud and money laundering;

- (b) Those countries which have been identified as having serious deficiencies in their money laundering regimes. These countries include, but are not limited to, the NCCTs identified by the FATF. Special attention should be given to countries which have been subject to FATF counter-measures since they do not put in place significant anti-money laundering legislation to address the money laundering concerns identified by the FATF.
5. Customer refuses, or is unwilling, to provide explanation of financial activity, or provides explanation assessed to be untrue.
 6. Activity is incommensurate with that expected from the customer considering the information already known to the bank about the customer and the customer's previous financial activity. (For personal accounts consider customer's age, occupation, residential address, general appearance, type and level of previous financial activity. For company accounts consider type and level of activity).
 7. A client or investor introduced by an overseas bank, affiliate or other client or investor both of which are based in Nauru.

Application of FATF counter-measures in the Hong Kong context

Hong Kong, being one of the FATF members, is obliged to follow FATF's decision to impose counter-measures against Nauru. As such, intermediaries and, where applicable, their associated entities are advised to make additional efforts in the following areas in respect of transactions with Nauru:

1. For new customers from Nauru, intermediaries and, where applicable, their associated entities should clearly ascertain the customers' background and the expected level and nature of account activities. A supervisory officer (who does not normally have to be involved) should sign to approve the opening of such accounts.
2. Intermediaries and, where applicable, their associated entities are advised not to accept new accounts opened through intermediaries such as lawyers, accountants and company formation agents, etc, that only operate in Nauru without having completed proactive verification procedures and assessment of the risk of money laundering, particularly if the holders or beneficial owners of such accounts originate from Nauru. They should accept new accounts originating from Nauru only if they are satisfied about the customers' background and the source of funds after having obtained satisfactory evidence thereof and ascertained the expected level and nature of account activities.
3. Relevant staff of intermediaries and, where applicable, their associated entities should pay special attention to the on-going monitoring of the activities of new accounts with Nauru. Significant deviations from the expected level and nature of activities (ascertained upon account opening) should be followed up and reported to the Joint Financial Intelligence Unit ("JFIU") immediately if deemed appropriate.
4. Besides the Guidance Note issued by the SFC on Prevention of Money Laundering and Terrorist Financing, intermediaries and, where applicable, their associated entities, should also refer to the updated list of suspicious activity indicator at Appendix 1, in particular item 7 of the list, for identifying suspicious transactions and ensuring compliance with the suspicious transactions reporting requirements.
5. Intermediaries and, where applicable, their associated entities should include the subject of NCCT with special emphasis on Nauru in their staff training programmes in respect of money laundering.
6. Where practicable, intermediaries and, where applicable, their associated entities should help spread more widely information on NCCT, in particular that about Nauru, to business relationships with the non-bank financial sector, business sector, intermediaries such as lawyers and accountants and so on. This is to complement Government's efforts to disseminate information on the NCCT process, and Nauru which is a NCCT jurisdiction subject to counter-measures, to the general public. The subject of NCCT, in particular information about Nauru should also be highlighted, where appropriate, in money laundering related fora or presentations given by intermediaries and, where applicable, their associated entities.

7. To enhance awareness on Nauru and other NCCTs, attention of staff of intermediaries and, where applicable, their associated entities should be drawn to the websites of the Narcotics Division of the Security Bureau, the JFIU and other financial regulators where the background and latest developments of NCCT, in particular Nauru, which is a NCCT jurisdiction subject to FATF counter-measures, are published.